

Still, it is not impossible for banks to be good investments, Buffett says. If management does its job, banks can generate a 20 percent return on equity. Although this is below what a Coca-Cola might earn, it is above the average return for most businesses. It is not necessary to be number one in your industry if you are a bank, Buffett explains. What counts is how you manage your assets, liabilities, and costs. Like insurance, banking is very much a commodity business. And as we know, in a commodity-like business, the actions of management are frequently the most distinguishing trait. In this respect, Buffett picked the best management team in banking. “With Wells Fargo,” he states, “we think we have obtained the best managers in the business, Carl Reichardt and Paul Hazen. In many ways, the combination of Carl and Paul reminds me of another—Tom Murphy and Dan Burke at Capital Cities/ABC. Each pair is stronger than the sum of the parts.”³⁶

Tenet: Rationality

When Carl Reichardt became chairman of Wells Fargo in 1983, he began to transform the sluggish bank into a profitable business. From 1983 through 1990, Wells Fargo averaged returns of 1.3 percent on assets and 15.2 percent on equity. By 1990, it had become the tenth-largest bank in the country, with \$56 billion in assets. Reichardt, like many managers that Buffett admires, is rational. Although he had not instigated stock buy-back programs or passed along special dividends, all of which reward shareholders, he does run Wells Fargo for the benefit of its owners. Like Tom Murphy at Capital Cities/ABC, he was legendary when it came to controlling costs. Once costs were under control, Reichardt never let up. He constantly searched for ways to improve profitability.

One measure of a bank’s operating efficiency is the ratio of its operating (i.e., noninterest) expense to net interest income.³⁷ Wells Fargo’s operating efficiencies were 20 to 30 percent better than First Interstate or Bank of America. Reichardt manages Wells Fargo like an entrepreneur. “We try to run this company like a business,” he said. “Two and two is four. It’s not seven or eight.”³⁸

When Buffett was buying Wells Fargo in 1990, the bank ended that year with the highest percentage of commercial real estate loans of any major